Social Security Solvency Without Benefit Cuts Or Raising the Retirement Age

A Proposal for Long-Term Retirement Security

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Gregory L. Meyers

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Executive Summary

Social Security remains one of the most successful anti-poverty and retirement security programs in American history. For millions of Americans, it serves as the foundation of financial security in retirement and protects elderly citizens from poverty, homelessness, and economic hardship.

The challenge facing policymakers is not whether Social Security should continue. The challenge is how to maintain solvency while preserving its core promise to workers who have paid into the system throughout their lives.

Many reform proposals rely on benefit reductions, means testing, or increases in the retirement age. This proposal takes a different approach.

The central principle of this paper is straightforward:

SOCIAL SECURITY SOLVENCY SHOULD BE ACHIEVED WITHOUT REDUCING EARNED BENEFITS.

This proposal seeks to strengthen Social Security finances through:

- Elimination of the payroll tax cap.
- Inclusion of high-income pass-through business income within the contribution base.
- Exploration of a supplemental sovereign-style Social Security endowment.
- Long-term actuarial evaluation and independent fiscal analysis.

This paper does not claim to provide a final actuarial solution. Instead, it presents a framework intended for review, critique, and further development by economists, policymakers, actuaries, and the public.

Introduction

Social Security represents a unique compact between generations.

Workers contribute throughout their careers with the understanding that a reliable retirement benefit will be available when they reach retirement age. The program provides

retirement security while reducing elderly poverty and supporting economic stability throughout the country.

For most Americans, Social Security was never intended to function as an investment account. It was designed as social insurance.

The primary purpose of Social Security is not maximizing financial returns for contributors.

Its purpose is ensuring that elderly Americans are able to retire with dignity.

Any reform should therefore begin with the following question:

How can Social Security remain financially sustainable without reducing the benefits that workers were promised?

This paper argues that revenue reform should be explored before benefit reductions.

The Solvency Challenge

Social Security faces long-term demographic pressures.

Several factors contribute to these challenges:

- Americans live longer on average than previous generations.
- The ratio of workers to retirees has declined.
- Population aging increases the number of beneficiaries.
- Slower workforce growth reduces contributor growth.

These trends place increasing pressure on a financing system that depends heavily on payroll contributions.

Numerous proposals have emerged in response.

Common proposals include:

- Raising the retirement age.
- Cutting future benefits.
- Means testing retirees.
- Privatization.
- Increasing payroll tax rates.

While each proposal has advantages and disadvantages, this paper focuses primarily on revenue reforms rather than reductions in benefits.

Guiding Principles

Principle 1: Preserve Earned Benefits

Workers who contribute throughout their careers should be able to rely on promised retirement benefits.

Reforms should prioritize preserving benefits whenever possible.

Principle 2: Protect Middle-Class Workers

Any financing solution should avoid placing disproportionate burdens on middle-income households.

Additional financing should primarily come from higher-income individuals with greater capacity to contribute.

Principle 3: Maintain Public Legitimacy

Social Security remains politically durable because it is broadly universal.

Participants contribute and participants receive benefits.

Reforms should preserve that legitimacy.

Principle 4: Achieve Long-Term Stability

Temporary fixes should not create larger problems in future decades.

Financing mechanisms should be durable and predictable.

Principle 5: Protect Future Generations

Current retirees and future retirees both deserve a stable system.

The burden of solvency should not fall entirely on future workers.

Reform One: Eliminate the Payroll Tax Cap

The most significant proposal in this paper is the elimination of the Social Security payroll tax cap.

Under current law, earnings above a designated threshold are generally excluded from Social Security payroll taxation.

This creates a situation in which high-income earners pay Social Security taxes on a declining share of total earnings as income rises.

This proposal would remove the cap entirely.

All wage income would be subject to Social Security payroll taxes regardless of income level.

Economic Rationale

The proposal rests upon several arguments:

- High-income households have benefited substantially from economic growth.
- Removing the cap broadens the contribution base.
- Additional revenue would be concentrated among households most able to contribute.
- Middle-income workers could be protected from additional payroll tax increases.

The objective is to strengthen program financing without reducing benefits.

Questions Requiring Analysis

Several important questions remain unresolved:

- How much revenue would elimination of the cap generate?
- What behavioral responses would result?
- Would compensation shift toward non-wage forms?
- How would labor markets respond?
- Would additional anti-avoidance provisions be required?

These questions require independent economic analysis.

Reform Two: Include High-Income Pass-Through Income

High-income individuals often receive income through structures such as:

- Partnerships
- S-Corporations
- Sole Proprietorships

This proposal would examine whether such income should be included within the Social Security contribution base above designated thresholds.

The objective is neutrality.

Equivalent economic activity should not receive dramatically different treatment solely because of legal structure.

Anti-Sheltering Principle

The proposal seeks to reduce incentives to restructure income primarily for contribution avoidance.

If payroll taxation applies broadly to wage earnings but not to economically similar pass-through income, incentives emerge to rearrange compensation structures rather than create productive value.

A more neutral system may strengthen program financing while reducing avoidance opportunities.

Questions Requiring Analysis

Important questions include:

- How significant is current avoidance?
- What additional compliance costs would arise?
- Could entrepreneurship be negatively affected?
- What administrative mechanisms would be required?

These issues warrant careful review by economists and tax experts.

Reform Three: Social Security Endowment

This paper also proposes exploration of a supplemental Social Security endowment.

The concept is inspired in part by sovereign wealth models that invest public assets on behalf of future generations.

The endowment would not replace payroll financing.

Rather, it would serve as an additional layer of long-term financial support.

Purpose

The objective is diversification.

Currently, Social Security depends heavily on payroll contributions.

An endowment could provide an additional source of long-term support through investment returns.

Governance Principles

Any endowment should operate according to strict rules:

Independent Management

Investment decisions should be insulated from routine political pressures.

Broad Index Investing

Assets should primarily be invested through diversified market index funds rather than politically directed investments.

Non-Voting Ownership

Government should not acquire direct corporate control through investment ownership.

Transparency

The endowment should provide:

- Annual reports
- Performance disclosures
- Cost disclosures
- Independent audits

Why Not Raise the Retirement Age?

One of the most common reform proposals is increasing the retirement age.

This paper rejects that approach.

Social Security was established to provide retirement security beginning at age 65.

While life expectancy has increased overall, gains have not been equally distributed across all demographic and occupational groups.

Workers in physically demanding occupations often experience:

- Greater workplace wear and tear.
- Lower life expectancy.
- Greater difficulty extending careers into advanced age.

Raising the retirement age effectively reduces lifetime benefits for future retirees.

This proposal therefore rejects retirement-age increases as a primary solvency strategy.

Why Not Means Testing?

This proposal also rejects means testing.

Means testing is often presented as a method of concentrating resources on lower-income retirees.

However, substantial means testing introduces several challenges.

First, it weakens the connection between contributions and benefits.

Second, it risks transforming Social Security from a universal social insurance program into a targeted welfare program.

Third, it may undermine long-term political support for the system.

This proposal maintains that individuals who contribute should continue receiving benefits regardless of income level.

High-income earners would contribute more under payroll-cap reform, but they would continue receiving benefits.

Areas Requiring Further Research

This white paper intentionally avoids making claims that have not yet been independently verified.

Several critical areas require additional study.

These include:

- Independent actuarial scoring.
- Dynamic revenue modeling.

- Behavioral response estimates.
- Labor-market effects.
- Administrative cost estimates.
- Distributional analysis.
- Long-term investment-return projections.

Additional analysis should occur before implementation of any reform package.

Open Policy Question

One unresolved issue remains particularly important.

If elimination of the payroll tax cap and pass-through income integration prove insufficient to achieve long-term solvency, what should occur next?

Potential options include:

- Utilizing endowment returns.
- Additional revenue reforms.
- General-fund support.
- Payroll tax adjustments.
- A combination of approaches.

This paper does not take a final position on that question.

Instead, it presents the issue as an open area for future economic and actuarial analysis.

Known Limitations

This paper is a conceptual policy proposal rather than a completed actuarial reform package.

The proposals outlined here have not yet been subjected to comprehensive actuarial scoring, dynamic revenue modeling, or independent fiscal analysis. While the framework identifies potential mechanisms for improving Social Security's long-term financial position, the magnitude of their effects remains uncertain.

Several important questions remain unresolved, including:

- The total revenue impact of eliminating the payroll tax cap.
- Behavioral responses by employers, employees, and high-income taxpayers.
- Administrative and compliance costs associated with pass-through income integration.
- Long-term investment performance assumptions for a Social Security endowment.
- Distributional impacts across income groups and generations.
- The size of any remaining long-term solvency gap after implementation of the proposed reforms.

This paper therefore should not be interpreted as a claim that Social Security solvency has been definitively solved. Rather, it presents a framework intended for evaluation, criticism, refinement, and further analysis.

Where evidence remains incomplete, this paper intentionally leaves certain policy choices open. In particular, if the proposed revenue reforms prove insufficient to achieve long-term solvency, the appropriate next steps remain an open question requiring independent economic and actuarial review.

The purpose of this proposal is not to provide final answers to every aspect of Social Security reform. The purpose is to identify a potential path forward and invite rigorous scrutiny from economists, actuaries, policymakers, and the public.

Questions for Economists and Policy Experts

This proposal is intended to invite criticism and review.

Feedback would be especially valuable regarding the following questions:

1. Should elimination of the payroll tax cap be expected to materially improve long-term solvency?
2. What behavioral responses are most likely?
3. How should pass-through income be treated?
4. Can a sovereign-style endowment meaningfully improve retirement-system resilience?
5. What are the most significant unintended consequences of this proposal?
6. What additional modeling would be required before policymakers should consider implementation?
7. If a residual financing gap remains, what solution would economists recommend?

Conclusion

Social Security remains one of the nation's most important institutions.

The challenge is not whether retirement security should exist. The challenge is how to preserve it responsibly.

This proposal begins with a simple principle:

Social Security solvency should be achieved without reducing earned benefits.

Rather than focusing first on benefit cuts, means testing, or raising the retirement age, this paper proposes exploring revenue reforms and long-term reserve mechanisms. It does not claim to provide a final answer. Instead, it seeks rigorous scrutiny, independent analysis, and informed debate.

The purpose of this paper is not to end the discussion.

The purpose is to begin it.